

ZED PHILIPPINES, INC.

AUDITED FINANCIAL STATEMENTS

**For the Year Ended December 31, 2022 and
for the period from May 12, 2021 to December 31, 2022**

and

INDEPENDENT AUDITOR'S REPORT

RONESA D. BUQUIRON

Certified Public Accountant

SUPPLEMENTAL STATEMENT OF INDEPENDENT AUDITOR

The Board of Directors
ZED PHILIPPINES, INC.
5/F Universal Re Bldg., Paseo de Roxas
Cor. Perea St., Legaspi Village, Makati City

I have audited the financial statements of **ZED PHILIPPINES, INC.** for the year ended December 31, 2022, on which I have rendered the attached report dated September __, 2023.

In compliance with SRC Rule 68, I am stating that the Company has one (1) shareholder owning 100 or more shares as of December 31, 2022.

RONESA D. BUQUIRON

CPA License No. 75508
PRC ID expiry date: January 12, 2026
BOA Accreditation No 2477 valid until January 31, 2026
BIR Accreditation No. 08-005442-001-2020 valid until October 8, 2023
Tax Identification No 105-815-034
PTR No. 2440711 issued January 11, 2023, City of Bacoor, Cavite

September __, 2023

RONESA D. BUQUIRON

Certified Public Accountant

REPORT OF INDEPENDENT CERTIFIED PUBLIC ACCOUNTANT TO ACCOMPANY INCOME TAX RETURN

The Board of Directors
ZED PHILIPPINES, INC.
5/F Universal Re Bldg., Paseo de Roxas
Cor. Perea St., Legaspi Village, Makati City

I have audited the financial statements of **ZED PHILIPPINES, INC.** for the year ended December 31, 2022 on which I have rendered the attached report dated September __, 2023.

In compliance with Revenue Regulation V-20, I am stating that I am not related by consanguinity or affinity to the President, Manager or any principal stockholders of the Company.

RONESA D. BUQUIRON

CPA License No. 75508
PRC ID expiry date: January 12, 2026
BOA Accreditation No 2477 valid until January 31, 2026
BIR Accreditation No. 08-005442-001-2020 valid until October 8, 2023
Tax Identification No 105-815-034
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September __, 2023

INDEPENDENT AUDITOR'S REPORT

The Board of Directors
ZED PHILIPPINES, INC.
5/F Universal Re Bldg., Paseo de Roxas
Cor. Perea St., Legaspi Village, Makati City

Report on the Audit of the Financial Statements

OPINION

I have audited the financial statements of **ZED PHILIPPINES, INC.**, (the Company), which comprise the statement of financial position as at December 31, 2022 and 2021, and the statement of income, statement of changes in equity and statement of cash flows for the years then ended, and notes to the financial statements, including a summary of significant accounting policies.

In my opinion, the accompanying financial statements present fairly, in all material respects, the financial position of **ZED PHILIPPINES, INC.**, as at December 31, 2022 and 2021, and its financial performance and its cash flows for the years then ended in accordance with the Philippine Financial Reporting Standards for Small and Medium-sized Entities (PFRS for SMEs).

Basis for Opinion

I conducted my audits in accordance with the Philippine Standards on Auditing (PSA). My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am Independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professionals Accountants (PESBA Code) together with the ethical requirements that are relevant to my audit of the financial statements in the Philippines, the Code of Ethics for Professional Accountants in the Philippine (Philippine Code of Ethics), and I have fulfilled my other ethical responsibilities in accordance with these requirements and the PESBA Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

You are responsible for the preparation and fair presentation of the financial statements in accordance with the generally accepted accounting principles in the Philippines, and for such internal control as you determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, you are responsible for assessing your ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Corporation's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSA will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with PSA, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assesses the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of the accounting policies used and the reasonableness of the accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

Report on Other Legal and Regulatory Requirements

My audits were conducted for the purpose of forming an opinion on the basic financial statements taken as a whole. The supplementary information on taxes and licenses in the financial statements is presented for the purpose of filing with the Bureau of Internal Revenue and is not a required part of the basic financial statements. Such supplementary information is the responsibility of management and has been subjected to the auditing procedures applied in my audits of the basic financial statements. In my opinion, the supplementary information is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

RONESA D. BUQUIRON

CPA License No. 75508

PRC ID expiry date: January 12, 2026

BOA Accreditation No 2477 valid until January 31, 2026

BIR Accreditation No. 08-005442-001-2020 valid until October 8, 2023

Tax Identification No 105-815-034

PTR No. 2440711 issued January 11, 2023, City of Bacoor, Cavite

September ____, 2023

ZED PHILIPPINES, INC.
(A wholly-owned subsidiary of Zed Financial, Inc.)

STATEMENTS OF FINANCIAL POSITION

		December 31	
	<i>Notes</i>	2022	2021*
ASSETS			
CURRENT ASSETS			
Cash in banks	2,3,4,13	108,995,445	100,539,014
Due from related party	2,3,5,12	26,400	-
Other current assets	2,3,6	1,029,550	-
Total Current Assets		110,051,395	100,539,014
NON-CURRENT ASSETS			
Office equipment	2,3,7	70,402	-
TOTAL ASSETS		110,121,797	100,539,014
LIABILITIES AND EQUITY			
LIABILITIES			
Income tax payable	2,3,8,12	11,454	11,454
Trade and other payables	2,3,10	358,731	128,420
Deposit for future stock subscription	2,3,11	90,355,999	90,355,999
Total Current Liabilities		90,726,184	90,495,873
NON-CURRENT LIABILITIES			
Deferred tax liability-net	2,3,10	2,326,732	-
Total Liabilities		93,052,916	90,495,873
EQUITY			
Capital stock	2,3,11	10,000,000	10,000,000
Retained earnings	2,3	7,068,881	43,141
Total Equity		17,068,881	10,043,141
TOTAL LIABILITIES AND EQUITY		110,121,797	100,539,014

* The Company was incorporated and registered with the Securities and Exchange Commission on May 12, 2021 and has not started commercial operations as of December 31, 2022 and 2021.

See accompanying Notes to Financial Statements

ZED PHILIPPINES, INC.
(A wholly-owned subsidiary of Zed Financial, Inc.)

STATEMENTS OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED DECEMBER 31, 2022

(WITH COMPARATIVE FIGURES FOR THE PERIOD FROM MAY 12, 2021 TO DECEMBER 31, 2021*)

	<i>Notes</i>	2022	2021
			(Eight months*)
REVENUE			
Foreign exchange gain	2,3	10,582,544	174,236
Interest income	2,3,4	46,543	8,779
		10,629,087	183,015
OPERATING EXPENSES	2,3,9	1,276,615	128,420
NET INCOME/(LOSS) BEFORE INCOME TAX		9,352,472	54,595
INCOME TAX EXPENSE			
Current	2,3,10	-	(11,454)
Deferred	2,3,10	(2,326,732)	-
		(2,326,732)	(11,454)
NET INCOME AFTER INCOME TAX		7,025,740	43,141

* The Company was incorporated and registered with the Securities and Exchange Commission on May 12, 2021 and has not started commercial operations as of December 31, 2022 and 2021.

See accompanying Notes to Financial Statements

ZED PHILIPPINES, INC.
(A wholly-owned subsidiary of Zed Financial, Inc.)

STATEMENTS OF CHANGES IN EQUITY
FOR THE YEAR ENDED DECEMBER 31, 2022
(WITH COMPARATIVE FIGURES FOR THE PERIOD FROM MAY 12, 2021 TO DECEMBER 31, 2021*)

	<i>Notes</i>	2022	2021
			(Eight months*)
CAPITAL STOCK	<i>2,3,11</i>	10,000,000	10,000,000
RETAINED EARNINGS			
Beginning balance		43,141	-
Net income for the period		7,025,740	43,141
Ending balance		7,068,881	43,141
TOTAL EQUITY		17,068,881	10,043,141

* The Company was incorporated and registered with the Securities and Exchange Commission on May 12, 2021 and has not started commercial operations as of December 31, 2022 and 2021.

See accompanying Notes to Financial Statements

ZED PHILIPPINES, INC.
(A wholly-owned subsidiary of Zed Financial, Inc.)

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED DECEMBER 31, 2022

(WITH COMPARATIVE FIGURES FOR THE PERIOD FROM MAY 12, 2021 TO DECEMBER 31, 2021*)

	<i>Notes</i>	2022	2021
			(Eight months*)
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before income tax		9,352,472	54,595
Adjustments for:			
Depreciation	9	4,361	-
Interest income	4	(46,543)	(8,779)
Changes in current assets and liabilities:			
Increase in the amounts of:			
Other current assets	6	(1,029,550)	-
Due from related party	5	(26,400)	-
Increase in accounts and accrued expenses payables	8	230,311	128,420
Net cash generated from (used in) operations		8,484,651	174,236
Interest received		46,543	8,779
Net cash provided by (used in) operating activities		8,531,194	183,015
CASH FLOWS FROM INVESTING ACTIVITY			
Acquisition of office equipment	7	(74,763)	-
Net cash used in investing activities		(74,763)	-
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from issuance of common stock	11	-	10,000,000
Deposit for future stock subscription	11	-	90,355,999
Net cash from financing activities			100,355,999
NET INCREASE/(DECREASE) IN CASH		8,456,431	100,539,014
CASH AT BEGINNING OF YEAR	4	100,539,014	-
CASH AT END OF YEAR	4	108,995,445	100,539,014

* The Company was incorporated and registered with the Securities and Exchange Commission on May 12, 2021 and has not started commercial operations as of December 31, 2022 and 2021.

See accompanying Notes to Financial Statements

ZED PHILIPPINES, INC.

NOTES TO FINANCIAL STATEMENTS

1. GENERAL INFORMATION

Zed Philippines, Inc. (the Company) was incorporated under the laws of the Republic of the Philippines on May 12, 2021 under SEC Registration No. 2021050013643-91 as a corporation primarily to establish, operate, maintain and carry on the business software development, sales and support for any form of technological platforms, and handling and/or managing data, data processing, data storage, data analytics, and otherwise dealing in software, web design and mobile applications, excluding internet services and without engaging in the telecommunications business, mass media and advertising, subject to the provisions of the Data Privacy Act; to engage in the business of providing information technology products and services, such as, but not limited to, the research development, production, management, marketing and operation of software and hardware technology and other information technology applications; and to do any and all activities directly or indirectly connected therewith or incident thereto in pursuance to the aforementioned..

The Company has not started its commercial operations and has no employees as of December 31, 2022 and 2021.

The Company is a wholly owned subsidiary of Zed Financial, Inc., a software development company headquartered in San Francisco, California, specializing in building software platforms for personal finance.

The registered principal office address of the Company is 12th Floor, Four/Neo, 4th Avenue corner 30th Street, Bonifacio Global City, Taguig City , Metro Manila, Philippines.

The financial statements were authorized for issue by the Board of Directors (BOD) on September __, 2023.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Preparation

The accompanying financial statements have been prepared on a historical cost basis and are presented in Philippine peso (PHP or ₱), the Company's functional currency. All values are rounded to the nearest peso except when otherwise indicated.

Statement of Compliance

The financial statements of the Company have been prepared in accordance with Philippine Financial Reporting Standards (PFRSs).

The Company is a qualified SME. For qualified SMEs, full conversion to PFRS for SMEs is mandatory for all financial statements for annual periods beginning on or after January 1, 2010. However, the SEC issued exemptions from the mandatory adoption of the PFRS for SMEs for entities that meet certain criteria. The Company availed of the exemption issued by the SEC and accordingly it continues to adopt full PFRSs.

Changes in Accounting Policies and Disclosures

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of new standards effective in 2022. The Company has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise indicated, adoption of these new standards did not have an impact on the consolidated financial statements of the Company.

- *Amendments to PFRS 3, Reference to the Conceptual Framework*

The amendments add an exception to the recognition principle of PFRS 3 to avoid the issue of potential ‘day 2’ gains or losses arising for liabilities and contingent liabilities that would be within the scope of PAS 37 Provisions, Contingent Liabilities and Contingent Assets or IFRIC 21 Levies, if incurred separately. The exception requires entities to apply the criteria in PAS 37 or IFRIC 21, respectively, instead of the Conceptual Framework, to determine whether a present obligation exists at the acquisition date.

At the same time, the amendments add a new paragraph to PFRS 3 to clarify that contingent assets do not qualify for recognition at the acquisition date.

- *Amendments to PAS 16, Property, Plant and Equipment: Proceeds before Intended Use*

The amendment prohibits entities from deducting from the cost of an item of property, plant and equipment (PP&E), any proceeds of the sale of items produced while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Instead, an entity recognizes the proceeds from selling such items, and the costs of producing those items, in profit or loss.

The amendment must be applied retrospectively only to items of PP&E made available for use on or after the beginning of the earliest period presented when the entity first applies the amendment.

There is no transition relief for first-time adopters.

- *Amendments to PAS 37, Onerous Contracts – Costs of Fulfilling a Contract*

The amendments apply a ‘directly related cost approach’. The costs that relate directly to a contract to provide goods or services include both incremental costs (e.g., the costs of direct labor and materials) and an allocation of costs directly related to contract activities (e.g., depreciation of equipment used to fulfil the contract as well as costs of contract management and supervision). General and administrative costs do not relate directly to a contract and are excluded unless they are explicitly chargeable to the counterparty under the contract.

The amendments must be applied prospectively to contracts for which an entity has not yet fulfilled all of its obligations at the beginning of the annual reporting period in which it first applies the amendments (the date of initial application). Earlier application is permitted and must be disclosed.

- *Annual Improvements to PFRSs 2018-2020 Cycle*

The following is a summary of the amendments from the 2018-2020 annual improvements cycle:

- *Amendments to PFRS 1, First-time Adoption of Philippines Financial Reporting Standards, Subsidiary as a first-time adopter*
 - The amendment permits a subsidiary that elects to apply paragraph D16(a) of IFRS 1 to measure cumulative translation differences using the amounts reported in the parent’s consolidated financial statements, based on the parent’s date of transition to IFRS, if no adjustments were made for consolidation procedures and for the effects of the business combination in which the parent acquired the subsidiary. This amendment is also applied to an associate or joint venture that elects to apply paragraph D16(a) of IFRS 1.
 - An entity applies the amendment for annual reporting periods beginning on or after January 1, 2022. Earlier application is permitted.
- *Amendments to PFRS 9, Financial Instruments, Fees in the ‘10 per cent’ test for derecognition of financial liabilities*
 - The amendment clarifies the fees that an entity includes when assessing whether the terms of a new or modified financial liability are substantially different from the terms of the original financial liability. These fees include only those paid or received between the

borrower and the lender, including fees paid or received by either the borrower or lender on the other's behalf. There is no similar amendment proposed for IAS 39.

- An entity applies the amendment to financial liabilities that are modified or exchanged on or after the beginning of the annual reporting period in which the entity first applies the amendment.
- An entity applies the amendment for annual reporting periods beginning on or after January 1, 2022. Earlier application is permitted.
- Amendments to PAS 41, *Agriculture, Taxation in fair value measurements*
 - The amendment removes the requirement in paragraph 22 of PAS 41 that entities exclude cash flows for taxation when measuring the fair value of assets within the scope of PAS 41.

Significant Accounting Policies

Current versus Noncurrent Classification

The Company presents assets and liabilities in the statement of financial position based on current/noncurrent classification. An asset is current when:

- It is expected to be realized or intended to be sold or consumed in the normal operating cycle.
- It is held primarily for the purpose of trading.
- It is expected to be realized within twelve months after the reporting period.

All other assets are classified as noncurrent.

A liability is current when:

- It is expected to be settled in normal operating cycle.
- It is held primarily for the purpose of trading.
- It is due to be settled within twelve months after the reporting period or there is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least 12 months after the reporting period.

The Company classified all other liabilities as noncurrent.

Deferred tax assets and liabilities are classified as noncurrent assets and liabilities.

Foreign Currency Transactions

The financial statements are presented in PHP, which is the Company's functional currency. Foreign currency-denominated assets and liabilities are translated in PHP based on the Bankers Association of the Philippines (BAP) closing rate prevailing at the reporting date, and foreign currency-denominated income and expenses, at the prevailing exchange rate as of date of transaction. Foreign exchange differences arising from foreign currency transactions and revaluation of foreign currency denominated assets and liabilities are credited to or charged against current operations.

Fair Value Measurement

Fair value is the estimated price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- in the principal market for the asset or liability, or
- in the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a nonfinancial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Company determines whether transfers have occurred between Levels in the hierarchy by reassessing categorization (based on the lowest level input that is significant to the fair value measurement as whole) at the end of each reporting period.

Financial Instruments

Date of recognition

The Company recognizes a financial asset or a financial liability when it becomes a party to the contractual provisions of the instrument. Purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace are recognized on the trade date, which is the date when the Company commits to purchase or sell the assets. Securities transactions and the related commission income and expense are recorded on trade date.

'Day 1' difference

Where the transaction price in a non-active market is different from the fair value from other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets, the Company recognizes the difference between the transaction price and fair value (a 'Day 1' difference) in the statements of comprehensive income unless it qualifies for recognition as some other type of asset. In cases where transaction price used is made of data which is not observable, the difference between the transaction price and model value is only recognized in the statements of comprehensive income when the inputs become observable or when the instrument is derecognized. For each transaction, the Company determines the appropriate method of recognizing the 'Day 1' difference amount.

Initial recognition of financial instruments

Financial assets

At initial recognition, financial assets are classified as, and subsequently measured at amortized cost, FVOCI and fair value through profit or loss (FVTPL).

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them. The Company initially measures a financial asset at its fair value plus, in the case of a financial asset not at FVTPL, transaction costs.

In order for a financial asset to be classified and measured at amortized cost or FVOCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Company's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortized cost (debt instruments)
- Financial assets at FVOCI with recycling of cumulative gains and losses (debt instruments)

- Financial assets designated at FVOCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at FVTPL

Financial assets

Financial assets at amortized cost

The Company measures financial assets at amortized cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortized cost are subsequently measured using the effective interest rate (EIR) method and are subject to impairment. Gains and losses are recognized in the statement of comprehensive income when the asset is derecognized, modified or impaired.

This accounting policy applies to the Company's 'Cash in banks' and 'Receivables from affiliates and others' in the statements of financial position.

Financial assets at FVOCI (debt instruments)

The Company measures debt instruments at FVOCI if both of the following conditions are met:

- The financial asset is held within a business model with the objective of both holding to collect contractual cash flows and selling; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

For debt instruments at FVOCI, interest income, foreign exchange revaluation and impairment losses or reversals are recognized in the statements of comprehensive income and computed in the same manner as for financial assets measured at amortized cost. The remaining fair value changes are recognized in OCI. Upon derecognition, the cumulative fair value change recognized in OCI is recycled to profit or loss.

The Company does not have debt instruments at FVOCI as of December 31, 2022 and 2021.

Financial assets designated at FVOCI (equity instruments)

Upon initial recognition, the Company can elect to classify irrevocably its equity investments as equity instruments designated at FVOCI when they meet the definition of equity under PAS 32, Financial Instruments: Presentation, and are not held for trading. The classification is determined on an instrument-by-instrument basis.

Gains and losses on these financial assets can no longer be recycled to profit or loss. Dividends are recognized as other income in the statements of comprehensive income when the right of payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at FVOCI are not subject to impairment assessment.

As at December 31, 2022 and 2021, the Company has no financial assets under the FVOCI category.

Financial assets at FVTPL

Financial assets at FVTPL include financial assets held for trading, financial assets designated upon initial recognition at FVTPL, or financial assets mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Derivatives, including separated embedded derivatives, are also classified as held for trading unless they are designated as effective hedging instruments. Financial assets with cash flows that are not solely payments of principal and interest are classified and measured at FVTPL, irrespective of the business model. Notwithstanding the criteria for debt instruments to be classified at

amortized cost or at FVOCI, as described above, debt instruments may be designated at FVTPL on initial recognition if doing so eliminates, or significantly reduces, an accounting mismatch.

Financial assets at FVTPL are carried in the statement of financial position at fair value with net changes in fair value recognized in the statements of comprehensive income.

The Company has no outstanding financial assets at FVTPL as of December 31, 2022 and 2021.

Derecognition of Financial Assets and Liabilities

Financial asset

A financial asset (or where applicable a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- the rights to receive cash flows from the asset have expired;
- the Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay them in full without material delay to a third party under a pass-through arrangement and either (a) has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred the control over the asset.

Financial liability

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or has expired.

Offsetting Financial Instruments

Financial assets and financial liabilities are offset and the net amount is reported in the statements of financial position, if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the asset and settle the liability simultaneously. The Company assesses that it has a currently enforceable right of offset if the right is not contingent on a future event, and is legally enforceable in the normal course of business, event of default, and event of insolvency or bankruptcy of the Company and all of the counterparties.

As at December 31, 2022 and 2021, the Company has not offset any financial assets and liabilities.

Impairment of Financial Assets

The Company recognizes an allowance for expected credit loss (ECL) for all debt instruments not held at FVTPL. ECL represents credit losses that reflect an unbiased and probability-weighted amount which is determined by evaluating a range of possible outcomes, the time value of money and reasonable and supportable information about past events, current conditions and forecasts of future economic conditions. The ECL allowance is based on the credit losses expected to arise over the life of the asset (the lifetime ECL), unless there has been no significant increase in credit risk (SICR) since origination, in which case, the allowance is based on the 12-month ECL. The 12-month ECL is the portion of lifetime ECL that results from default events on a financial instrument that are possible within the 12 months after the reporting date. Lifetime ECL are credit losses that results from all possible default events over the expected life of a financial instrument.

For other financial assets, ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a SICR since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

Staging assessment

At each reporting date, the Company assesses whether there has been a SICR for financial assets since initial recognition by comparing the risk of default occurring over the expected life between the reporting date and the date of initial recognition. The Company considers reasonable and supportable information that is relevant and available without undue cost or effort for this purpose. This includes quantitative and qualitative information and forward-looking analysis.

An exposure will migrate through the ECL stages as asset quality deteriorates. If, in a subsequent period, asset quality improves and also reverses any previously assessed SICR since origination, then the loss allowance measurement reverts from lifetime ECL to 12-month ECL.

Property and Equipment

Property and equipment which includes office equipment is stated at cost less accumulated depreciation and allowance for impairment losses, if any.

The initial cost of property and equipment consists of its purchase price and any directly attributable costs of bringing the asset to its working condition and location for its intended use. Expenditures incurred after the property and equipment have been put into operation, such as repairs and maintenance are normally charged against current operations in the year in which the costs are incurred. In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as an additional cost of property and equipment.

Depreciation for 'Office Equipment' is computed using the straight-line method over the estimated useful life (EUL) of 5 years.

The useful life and depreciation and amortization method are reviewed periodically to ensure that the period and the method of depreciation and amortization are consistent with the expected pattern of economic benefits from items of property and equipment.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of comprehensive income in the year the asset is derecognized.

Impairment of Nonfinancial Assets

Property and equipment

At each reporting date, the Company assesses whether there is any indication that its nonfinancial assets may be impaired. When an indicator of impairment exists, or when an annual impairment testing for an asset is required, the Company makes a formal estimate of recoverable amount. Recoverable amount is the higher of an asset's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets, in which case the recoverable amount is assessed as part of the cash-generating unit (CGU) to which it belongs. When the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss is charged to operations in the year in which it arises, unless the asset is carried at a revalued amount, in which case the impairment loss is charged to the revaluation increment of the said asset.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the statement of comprehensive income unless the asset is carried at a revalued amount, in which case the reversal is treated as a revaluation increase.

After such a reversal, the depreciation expense is adjusted in future years to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining life.

Revenue Recognition

Timing of revenue recognition may change depending on when the performance obligation is satisfied, either at a point in time or over time. The Company recognizes revenue from services at a point in time when the services are transferred to the customers and fulfills the performance obligations. In order to determine whether the control over the services is transferred over time, the Company determines whether the customer simultaneously obtains and consumes the benefits provided by the Company's performance and whether the Company has the right to make executable claims for the portion that has been completed so far.

The Company allocates the transaction prices based on the stand-alone selling prices to the various performance obligations identified in a single contract.

The Company estimates the amounts of consideration depending on which method the entity expects to better predict the amount of consideration to which it will be entitled - the expected value or the most likely amount. Variable consideration is included in the transaction price only to the extent that it is highly probable that a significant reversal in the cumulative amount of revenue recognized will not occur in the future periods.

If the period between the transfer of the services promised to the customer and the payment of the customer is within one year, a practical simple method that does not adjust the promised price for a significant financing component is used.

The following specific recognition criteria must also be met before revenue is recognized:

Interest income

Interest income consists of interest earned on deposit accounts with banks and on short-term investments.

Foreign exchange gain

Foreign exchange gain pertains to the translation of US Dollar-denominated cash accounts to Philippine peso.

Expenses

Expenses encompass losses as well as those expenses that arise in the course of the ordinary activities of the Company. Expenses are recognized when incurred.

Leases

Company as a lessee

The Company applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low value assets. The Company recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Right-of-use assets

The Company recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.

Unless the Company is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right-of-use assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term.

Right-of-use assets are subject to impairment. Refer to the accounting policies in section impairment of non-financial assets.

Lease liabilities

At the commencement date of the lease, the Company recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating a lease, if the lease term reflects the Company exercising the option to terminate. The variable lease payments that do not depend on an index or a rate are recognized as expense in the period on which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Company uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Short-term leases and leases of low-value assets

The Company applies the short-term lease recognition exemption to its short-term leases of parking lots (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option) and low-value assets recognition exemption on leases whose underlying asset is of low value.

Accounts and Other Payables

Accounts and accrued expenses payables are liabilities to pay for good or services that have been received or supplied and have been invoiced formally agreed with the supplier. Trade payables are recognized initially at the transaction price and subsequently measured at amortized cost using effective interest method.

Equity

Capital stock is measured at par value for all shares issued and outstanding. When the Company issues more than one class of stock, a separate account is maintained for each class of stock and the number of shares issued.

The transaction costs incurred from the Company's stock issuance are accounted for as a deduction from equity to the extent they are incremental costs directly attributable to the equity transaction that otherwise would have been avoided.

Retained Earnings

Retained earnings represent the cumulative balance of net income or loss, dividend distributions, effects of changes in accounting policy and other capital adjustments. Unappropriated retained earnings represent that portion which is free and can be declared as dividends to stockholders. Appropriated retained earnings represent that portion which has been restricted and therefore is not available for any dividend declaration.

Deposits for future stock subscriptions

Deposits for future subscriptions (DFFS) represent funds received by the Company with a view to applying the same as payment for a future additional issuance of shares either from its authorized but unissued shares, from a proposed increase in authorized share capital, or as share premium. Upon application with the SEC, the amount will be credited to Capital stock for the par value of the shares and Additional paid in capital for the amount in excess of the par value.

Based on SEC Bulletin No. 6, issued in January 2013, the Company shall classify DFFS as equity if and only if, all of the following are present at the end of the reporting period:

- (a) The unissued authorized share capital is insufficient to cover the amount of shares indicated in the contract;
- (b) There is BOD's approval on the proposed increase in authorized share capital (for which a deposit was received);
- (c) There is stockholders' approval of said proposed increase; and
- (d) The application for the approval of the proposed increase has been filed with the SEC.

If the criteria above are not met, the deposits for future subscriptions will be presented as liabilities in the statement of financial position. As of December 31, 2022 and 2021, the Company's DFFS is presented as liability in the statement of financial position (Note 11).

Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) where, as a result of a past event, it is probable that an outflow of assets embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

Contingent Liabilities and Contingent Assets

Contingent liabilities are not recognized in the financial statements but are disclosed unless the possibility of an outflow of assets embodying economic benefits is remote. Contingent assets are not recognized but are disclosed in the financial statements when an inflow of economic benefits is probable.

Income Taxes

Current income tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted as of the reporting date.

Deferred tax

Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date. Deferred tax liabilities are recognized for all taxable temporary differences. Deferred tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from the excess of minimum corporate income tax (MCIT) over the regular corporate income tax (RCIT), and unused net operating loss carryover (NOLCO), to the extent that it is probable that sufficient taxable profit will be available against which the deductible temporary differences and carryforward of unused MCIT and unused NOLCO can be utilized.

Deferred tax, however, is not recognized when it arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting income nor taxable income.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable income will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates applicable to the period when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to offset current tax assets against current tax liabilities and deferred taxes related to the same taxable entity and the same taxation authority.

Value-added tax (VAT)

Expenses and assets are recognized net of the amount of VAT, except:

- when the VAT incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case, the VAT is recognized as part of the cost of acquisition of the assets or as part of the expense item, as applicable; or
- when receivables and payables are stated with the amount of VAT included.

The net amount of VAT recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

Subsequent Events After Reporting Date

Any post year-end events that provide additional information about the Company's position at the reporting date (adjusting events), are reflected in the Company's financial statements. Post year-end events that are not adjusting events are disclosed in the notes to the financial statements when material.

Standards Issued but not yet Effective

Pronouncement issued but not yet effective are listed below. The Fund intends to adopt the following pronouncements when they become effective. Adoption of these pronouncements is not expected to have a significant impact on the Company's financial statements.

Effective beginning on or after January 1, 2023

- Amendments to PAS 12, *Deferred Tax related to Assets and Liabilities arising from a Single Transaction*
- Amendments to PAS 8, *Definition of Accounting Estimates*
- Amendments to PAS 1 and PFRS Practice Statement 2, *Disclosure of Accounting Policies*

Effective beginning on or after January 1, 2024

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current*
- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*

Effective beginning on or after January 1, 2025

- PFRS 17, *Insurance Contracts*

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

3. SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

The preparation of the financial statements in compliance with PFRS for SMEs requires the Company to make judgments, estimates and assumptions that affect the reported amounts of assets, liabilities, income and expenses and disclosure of contingent assets and contingent liabilities. Future events may occur which will cause the assumptions used in arriving at the estimates to change. The effects of any change in judgments and estimates are reflected in the financial statements as they become reasonably determinable.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Estimate

Recognition of deferred tax assets

Deferred tax assets are recognized for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilized. Significant management judgment is

required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

The Company did not recognize deferred tax assets on certain deductible temporary differences as of December 31, 2022 and 2021 since management believes that the related future benefits may not be realized (Note 10).

Estimation of useful lives

The useful life of the capitalized equipment is based on the period over which the assets are expected to be available for use. The EUL is reviewed only if there are indicators that they have changed and are updated if expectations differ from previous statements due to technical commercial obsolescence or change in the use of the asset.

Judgments

As of December 31, 2022, the Company has not made significant judgments in preparation of the financial statements.

4. CASH IN BANK

This account pertains to the regular US Dollar and Peso denominated accounts maintained by the Company.

	2022	2021
Cash in bank-USD	108,860,103	100,539,014
Cash in bank-PHP	135,342	-
	108,995,445	100,539,014

As of December 31, 2022 and 2021, the cash in bank includes US Dollar account amounted to \$1.94 million (₱108.86 million using the prevailing foreign exchange rate of ₱56.12) and \$1.98 million (₱100.54 million using the prevailing foreign exchange rate of ₱50.77), respectively.

Cash in bank earns annual interest rate of 0.01%. Interest income earned from cash in bank amounted to ₱0.05 million and ₱0.01 million in 2022 and 2021, respectively.

5. DUE FROM RELATED PARTY

This account pertains to the advances made by the Company for the account of the Parent Company amounting to ₱26,400. As of December 31, 2022, the amount due from Parent Company has not experienced significant increase in credit risk and the related allowance for credit losses is deemed to be not material.

6. OTHER CURRENT ASSETS

This account consists of:

	2022	2021
Advances to supplier	477,390	-
Rental deposit	362,110	-
Input tax	135,425	-
Prepaid rent	54,625	-
	1,029,550	

Advances to supplier

In December 2022, the Company purchased 3,000 credit cards to be used in operations amounting to ₱477,390. As of December 31, 2022, the credit cards are still in production and are not yet available for use.

Rental deposit

In 2022, the Company entered into a month-to-month office space agreement with Spaces World Plaza from September 12, 2022 to November 30, 2022. The Company has a refundable service deposit amounting to ₱ 362,110.

7. OFFICE EQUIPMENT

This account consists of:

	2022	2021
At January 1, 2022	-	-
Additions	74,763	-
At December 31, 2022	74,763	-
Accumulated depreciation		
At January 1, 2022	-	-
Additions	4,361	-
At December 31, 2022	4,361	-
Carrying amount		
At January 1, 2022	-	-
At December 31, 2022	70,402	-

The Company only capitalizes the purchase price of equipment if it is above ₱5,000. Any amount below ₱5,000 is considered an expense outright in profit or loss. Depreciation is computed using straight-line method over the useful life of 5 years.

8. TRADE AND OTHER PAYABLES

This account consists of:

	2022	2021
Accruals	154,000	-
Due to related party (Note 12)	128,420	-
Due to officers (Note 12)	48,437	-
Trade payables	26,822	-
Other payables	1,053	-
	358,731	-

9. OPERATING EXPENSES

This account consists of:

	2022	2021
Rent	1,011,760	-
Professional fee	175,053	-
Office supplies	20,740	-
Depreciation (Note 7)	4,361	-
Representation	2,796	-
Taxes and licenses	1,000	128,420
Miscellaneous expense	60,905	-
	1,276,615	128,420

10. INCOME TAX

Provision for income tax consists of:

	2022	2021
Current	-	11,454
Deferred	2,326,732	-
Total	2,326,732	11,454

As of December 31, 2022, the Company has a net deferred tax liability amounting to:

	2022	2021
Deferred Tax Liability:		
Foreign exchange gain	2,645,636	-
Deferred Tax Asset:		
NOLCO	(318,904)	-
Deferred Tax Liability-net	2,326,732	-

Corporate Recovery and Tax Incentives for Enterprises or "CREATE" Act

President Rodrigo Duterte signed into law on March 26, 2021 the Corporate Recovery and Tax Incentives for Enterprises (CREATE) Act to attract more investments and maintain fiscal prudence and stability in the Philippines. Republic Act (RA) 11534 or the CREATE Act introduces reforms to the corporate income tax and incentives systems. It took effect 15 days after its complete publication in the Official Gazette or in a newspaper of general circulation on April 11, 2021.

The following are the key changes to the Philippine tax law pursuant to the CREATE Act which have an impact on the Company:

- Effective July 1, 2020, regular corporate income tax (RCIT) rate is reduced from 30.00% to 25.00% for domestic and resident foreign corporations. For domestic corporations with net taxable income not exceeding ₱5.00 million and with total assets not exceeding ₱100.00 million (excluding land on which the business entity's office, plant and equipment are situated) during the taxable year, the RCIT rate is reduced to 20%.
- Minimum corporate income tax (MCIT) rate reduced from 2.00% to 1.00% of gross income effective July 1, 2020 to June 30, 2023.
- Imposition of improperly accumulated earnings tax (IAET) is repealed.

Tax regulations also provide for the ceiling on the amount of entertainment, amusement and recreation expenses (EAR) that can be claimed as deduction against taxable income. Under the regulation, EAR expenses allowed as deductible expense for a service Fund is limited to the actual EAR incurred or paid but not to exceed 1.00% of net revenue.

On September 30, 2020, the BIR issued Revenue Regulations No. 25-2020 implementing Section 4(bbbb) of “Bayanihan to Recover as One Act” which states that the NOLCO incurred for taxable years 2020 and 2021 can be carried over and claimed as a deduction from gross income for the next 5 consecutive taxable years immediately following the year of such loss.

The Company has NOLCO amounting to ₱1.28 million and nil in taxable year 2022 and 2021, respectively, which can be claimed as deduction from the regular taxable income for the next three (3) consecutive years.

Year incurred	Beginning	Additions	Expired	Balance	Expiry Year
2022	-	1,275,615	-	1,275,615	2025

11. EQUITY

Common Stock

This account consists of:

	Shares		Amount	
	2022	2021	2022	2021
Common - 1 par value				
Authorized	10,000,000	10,000,000	10,000,000	10,000,000
Issued and outstanding	10,000,000	10,000,000	10,000,000	10,000,000

Deposit for future stock subscription

On September 21, 2021 the Company obtained the approvals of its Board of Directors (BOD) and stockholders to increase its capital to 370,000,000 shares with ₱1.00 par value from 10,000,000 shares with ₱1.00 par value.

On September 22, 2021, the Company entered into a subscription agreement with its Parent Company, Zed Financials Inc. for the additional shares subscription of 90,000,000 shares with ₱1.00 par value. On October 18, 2021, the Company received ₱90,355,999 in cash as a DFFS.

As of December 31, 2021, the Company has authorized and issued 10,000,000 shares. This is insufficient to cover the number of shares indicated in the subscription agreement.

The application for the approval of the proposed increase in authorized capital stock has not been filed with SEC as of December 31, 2022. With this, the Company did not meet the criteria indicated on SEC Bulletin No. 6, issued in January 2013. Thus, as of December 31, 2022 and 2021, the Company's DFFS is presented as liability in the statement of financial position.

12. RELATED PARTY TRANSACTIONS

Parties are related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions; and the parties are subject to common control or common significant influence. Related parties may be individuals or corporate entities.

The following table presents the balances of transactions with related parties as at and for the years ended December 31, 2022 and 2021:

2022

	Amount	Outstanding Balance	Terms	Conditions
<u>Receivables</u>				
Parent Company				
Due from Parent Company	26,400	26,400	Due and demandable Non-interest bearing	Unsecured, no impairment
	26,400	26,400		

Payables

Parent Company				
Due to Parent Company	-	128,420	Due and demandable Non-interest bearing	Unsecured
Due to officers	48,437	48,437	Due and demandable Non-interest bearing	Unsecured
	48,437	176,857		

	Amount	Outstanding Balance	Terms	Conditions
2021				
<u>Payables</u>				
Parent Company				
Due to Parent Company	128,420	128,420	Due and demandable Non-interest bearing	Unsecured
	128,420	128,420		

13. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Company is exposed to financial risks through its financial instruments. The principal financial assets of the Company are cash and cash equivalents and receivables.

Credit risk

The carrying amounts of the Company's financial assets in the statement of financial position represent the Company's maximum exposure to credit risks.

As of December 31, 2022 and 2021, the amount due from Parent Company, amounting to ₱26,400 and nil, respectively, does not show any significant increase in credit risk and the related allowance for credit losses is deemed to be not material.

Currency risk

Foreign exchange risk is the risk of loss from fluctuations in foreign exchange rates. It arises from the change in value, measured in the currency of the Company, of foreign currency denominated assets.

The table below summarizes the currency risk from the Company's cash in bank as of December 31, 2022 and 2021:

	2022		2021	
	In original currency	Philippine peso equivalent	In original currency	Philippine peso equivalent
Cash in bank	USD 1,939,774	₱108,860,103	USD 1,980,128	₱100,539,014

In translating foreign currency-denominated financial assets into Philippine peso amounts, the exchange rate used is ₱56.12 for 2022 and ₱50.77 for 2021.

The following table shows the sensitivity to a reasonably possible change in US\$ exchange rate, with all other variables held constant, on income before tax as of December 31, 2022 and 2021:

Peso Depreciation (Appreciation) vis-à-vis U. S. Dollar	Impact on Net Income	
	2022	2021
+₱1	₱1,939,774	₱1,980,128
-₱1	(₱1,939,774)	(₱1,980,128)

Liquidity Risk

Liquidity risk is the risk from inability to meet obligations when they become due, because of an inability to liquidate assets or obtain adequate funding. The Company is fully supported by the Parent Company in respect of its funding requirements. The Company ensures that sufficient liquid assets are available to meet short-term funding and regulatory requirements. As of December 31, 2022 and 2021, the Company's financial assets and financial liabilities are short-term in nature.

14. Supplemental Information Required under Revenue Regulations 15-2010

On November 25, 2010, the BIR issued RR 15-2010 to amend certain provisions of RR 21-2002 which provides that starting 2010, the notes to financial statements shall include information on taxes duties and license fees paid or accrued during the taxable year.

The Company reported and / or paid the following taxes in 2022:

Value Added Tax (VAT)

The NIRC of 1997 provides for the imposition of VAT on sales of goods and services. R.A. No. 9337 increased the VAT rate from 10.00% to 12.00%, effective February 1, 2006.

The Company has recorded ₱135,425 and nil input VAT for the year ended December 31, 2022 and 2021. It has no output VAT recorded since there are no vat-able transactions entered into for the year ended December 31, 2022 and 2021.

Taxes and Licenses

The Company has paid ₱1,000 and ₱128,420 for the year ended December 31, 2022 and 2021, respectively.

Withholding Taxes

As of December 31, 2022, the Company withheld a total amount of ₱1,053 pertaining to professional fees.

Tax Assessments and Cases

As at December 31, 2022 and 2021, the Company has no pending preliminary and final tax assessment notice. In addition, the Company has no pending tax case within and outside the administration of the BIR.

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